

1. "The value of a common stock depends on what it can earn in the future."
2. "Good common stocks are those which have shown a rising trend of earnings."
3. "Good common stocks will prove sound and profitable investments."

These statements sound innocent and plausible. Yet they concealed two theoretical weaknesses that could and did result in untold mischief. The first of these defects was that they abolished the fundamental distinctions between investment and speculation. The second was that they ignored the *price* of a stock in determining whether or not it was a desirable purchase.

New-Era Investment Equivalent to Prewar Speculation. A moment's thought will show that "new-era investment," as practiced by the public and the investment trusts, was almost identical with speculation as popularly defined in preboom days. Such "investment" meant buying common stocks instead of bonds, emphasizing enhancement of principal instead of income, and stressing the changes of the future instead of the facts of the established past. It would not be inaccurate to state that new-era investment was simply old-style speculation confined to common stocks with a satisfactory trend of earnings. The impressive new concept underlying the greatest stock-market boom in history appears to be no more than a thinly disguised version of the old cynical epigram: "Investment is successful speculation."

Stocks Regarded as Attractive Irrespective of Their Prices. The notion that the desirability of a common stock was entirely independent of its price seems incredibly absurd. Yet the new-era theory led directly to this thesis. If a public-utility stock was selling at 35 times its *maximum* recorded earnings, instead of 10 times its *average* earnings, which was the preboom standard, the conclusion to be drawn was not that the stock was now too high but merely that the standard of value had been raised. Instead of judging the market price by established standards of value, the new era based its standards of value upon the market price. Hence all upper limits disappeared, not only upon the price at which a stock *could* sell but even upon the price at which it would *deserve* to sell. This fantastic reasoning actually led to the purchase at \$100 per share of common stocks earning \$2.50 per share. The identical reasoning would sup-